

1

GETTING IN

Contract Formation

The great variety of contract theories since the Romans attests to the fact that the power of making promises has occupied the center of political thought over the centuries.

– Hannah Arendt

A. HANDSHAKES AND FEUDS FROM SNAPCHAT TO FACEBOOK

In 2011, Frank Reginald “Reggie” Brown, IV was an English major at Stanford University, living in the Kimball Hall dormitory.¹ There Brown conceived of an idea for a mobile device application that would let people send pictures from one phone to another, but with a novel catch: the picture would self-destruct shortly after viewing, so the recipient could not save or forward it. The idea would become the lucrative Snapchat product, at one point valued at \$15 billion (an astounding expression of investor optimism about the future considering that customers do not pay for the service and a way to make profits had not yet been devised). But Brown, having failed to formalize a contract, had to fight for his share of the value.

As spring blossomed in Palo Alto that year, Brown was hanging out in the dorm room of a friend, Thomas Spiegel, when he explained the app. Spiegel called it a “million-dollar idea.” After Spiegel asked Brown if they could work on it together, Brown said yes, and the two shook hands. That night they began searching for a computer coder to help. After interviewing several candidates, they chose Robert Cornelius

Murphy. Another Stanford student and friend of Spiegel's, the three were all also Kappa Sigma fraternity brothers.

The trio then agreed orally to develop the app – which Brown initially called “Picaboo,” after the children's game – and split profits among them equally. Control and management would likewise be shared, and each would have specific roles: Spiegel, chief executive officer; Brown, chief marketing officer; and Murphy, chief technology officer.

By early summer, the three were deep into the venture. They decamped to work and live together on the start-up at the home of Spiegel's father, on Toyopa Street in Los Angeles, which Spiegel called the “start-up house.” Brown wrote the terms of use, designed the product logo (a cartoonish smiling ghost), and the promotional pages for social media sites. The three jointly designed the app's features, including the camera button, screen layout, and colors. Votes were taken on important decisions. When they communicated with friends about the project via e-mail, all three names were included in the signature line.

In July 2011, they launched the app, which instantly drew strong interest and repeat customers. Through August, the three continued to share the work, even as Brown and Murphy went to their respective family homes for the rest of the summer. That's when things turned ugly. During a phone call, Brown and Spiegel got into a heated argument that forever altered their relationship. Spiegel and Murphy shut Brown out by changing all relevant passwords and ceased communicating with him. They soon changed the app's name to Snapchat and eliminated references to Brown as a cofounder in all publicity materials.

During their senior year at Stanford, in 2011–12, Snapchat took off, with users sending hundreds of millions of pictures daily. But at this stage, the production was guided entirely by Spiegel and Murphy, who simply ignored Brown as he went about his other business. Shortly before graduation, however, Brown asserted his right to a share of the enterprise. Spiegel and Murphy responded by retaining Cooley LLP, a prominent law firm, which on May 16, 2012, responded by denying Brown's rights to share in any part of Snapchat. Around the same time, thanks to lawyerly advice, Spiegel and Murphy formalized their own arrangement, creating a separate corporate entity they jointly owned with clear delineation of respective rights and duties.

Brown eventually sued Spiegel and Murphy, asserting that these facts added up at least to the formation of a contract to operate a partnership in which the three were to share equally. The pair denied the allegations and rejected the idea that any legal obligations had arisen. In September 2014, the sides settled without disclosing terms. However, Spiegel acknowledged Brown's role in the start-up, and while informed speculation suggested Brown did not receive the one-third he claimed, even a smaller share would be a bonanza.

Still, Brown and other entrepreneurs are usually better off clarifying the terms of their deals from the beginning by contract. But business enthusiasm discourages paying attention to important legal details. The result is uncertainty, as cases without contracts can go either way on basics like the duties owed and the profit split. When rights are the product of litigation rather than negotiation, results can be skewed. The legal wrangling is exhausting and expensive.

Sufficient Definiteness: Urban Decay

The classic case of *Holmes v. Lerner* illustrates other reasons why new business developers may never adopt a formal contract.² In 1996, an established entrepreneur, Cisco founder Sandra Lerner, and her horse trainer, Pat Holmes, became friends. On a trip to the United Kingdom they planned a pub crawl when Holmes started experimenting with new nail polish colors. Pink and red were the dominant colors of the day, but Holmes boldly imagined darker and moodier hues – like combining raspberry and black to form a new bruised shade. Back in the United States, Holmes continued to toy with the idea and, speaking with Lerner one day, the two decided to develop the product into a business. They dubbed their venture Urban Decay.

The two enlisted the help of Lerner's business advisor and proceeded to conduct market research, experiment with colors, and obtain financing. But while Lerner routinely assured Holmes of some role in the venture, she increasingly iced Holmes out of business development as she added professionals to the team. While Lerner and her business friends ironed out the details, Holmes felt left out yet uncomfortable requesting a formal contract. In numerous informal conversations, the two had spoken repeatedly of doing

everything together but never stated any formal terms, such as how to share profits. Lerner assured Holmes with a smile that everything would be all right.

When Holmes later requested a 50 percent share in the venture, Holmes' business advisor laughed, countering with an offer of 1 percent. Soon after that, Lerner and her team launched the product – branded as Urban Decay – with great success and subsequently denied that Lerner had any role in its conception or development. Holmes therefore sued Lerner. The issue was whether Holmes and Lerner had made a contract to form a partnership, and key sticking points were whether they had agreed with sufficient definiteness on material terms, such as how they would share profits.

Despite vagueness, Holmes persuaded a jury and judge that they had formed a partnership – meaning an agreement to carry on a business venture for profit. While many terms were unspecified, the most important, how to share profits, was implicitly agreed at an even split. Holmes thus walked away with about \$1 million. In 2000, Lerner arranged for the sale of Urban Decay to Moët-Hennessy Louis Vuitton for an undisclosed sum likely to be many multiples of that. (Urban Decay, which grew into a broad cosmetics line, has since been sold several times, most recently to L'Oréal.)

While it is easy to sympathize with Holmes on the facts as developed, the lesson for both sides is clear: it is better to try to work out details formally ahead of time than gamble on the outcome of a court battle. The start-up business setting is prone to such informality in part because entrepreneurs contribute mainly services, where business culture tolerates a far greater degree of informality than occurs when a financier stakes capital, a supplier furnishes materials, or a landlord provides facilities. (For another spin on the tale of founder's feuds, consider the story of Facebook, chronicled in the acclaimed film, *The Social Network*.)

B. GIFTS, BARGAINS, RELIANCE: MARTIN LUTHER KING, JR. AND BOSTON UNIVERSITY

Dr. Martin Luther King, Jr. is among the most consequential figures in America's civil rights movement. As an activist and leader, he

corresponded with luminaries of his time and wrote passionately. His voluminous papers have historical significance, so valuable that many have bid hefty prices to buy them. Most spectacularly, in June 2006, King family members planned to auction the bulk of his papers to the highest bidder at Sotheby's in New York City. Civic leaders in Atlanta, where King was born and raised, worried about the papers landing in private hands, never to be available for public reviewing or scholarly research.³ To avert that fate, distinguished civic-minded citizens, led by Atlanta Mayor Shirley Franklin, engineered a \$32 million loan to a new foundation to buy the papers. The foundation deposited the papers for permanent public access with Atlanta's Morehouse College, where King studied as an undergraduate.

The Morehouse College episode was not the first drama surrounding where King's papers would reside, nor was it the most controversial. That distinction goes to an earlier batch of his papers that King deposited in the 1960s with Boston University, where he earned the PhD that made him "Dr. King." A July 16, 1964 letter that King wrote and signed, and on which he followed up by delivering many papers, read, in part:

I name the Boston University Library the Repository of my correspondence, manuscripts and other papers. . . . It is my intention that after the end of each calendar year, [additional] files of materials . . . should be sent to Boston University. All papers and other objects which thus pass into the custody of Boston University remain my legal property until otherwise indicated. . . .

I intend each year to indicate a portion of the materials deposited with Boston University to become the absolute property of Boston University as an outright gift from me, until all shall have been thus given to the University. In the event of my death, all such materials deposited with the University shall become from that date the absolute property of Boston University.

Dr. King was assassinated on April 4, 1968. He left no will. Decades later, after years of BU's custodianship, Dr. King's widow, Coretta Scott King, challenged the archive arrangement in Massachusetts court.⁴ Mrs. King argued that the letter and Dr. King's delivery of the materials showed he had merely loaned them to BU. She said he made no promise to do more, and that any promise he did make was

merely to make a gift, as opposed to a legally valid commitment. BU contended just the opposite, saying the promise was clear and binding.

The King case raised profound issues in a struggle dating as far back as the Middle Ages: how to distinguish enforceable statements from those that are not. A long-standing social and moral norm treats promises as sacred.⁵ An important strand of philosophy considers promise keeping a social or civic duty. If these principles were followed, law would be obliged to enforce all promises as contracts, which, of course, it cannot. It would simply be impracticable for any court system to handle, and undesirable for judges to resolve, every fight over a breached promise. Courts are therefore more circumspect about what makes for a legally binding contract.

Mrs. King stressed the lack of formality in Dr. King's statements. His letter, though signed, was merely a gesture of kindness. For example, he did not take the trouble of having any witnesses attest to it, getting it notarized, or affixing a waxed seal on it to evidence an intention that it be legally binding.⁶

BU urged more substantive tests than this emphasis on formalities. True, such formal tests can be probative of intent, and the law for centuries, in America and Europe, looked to such formalities. But modern law appreciates that such formal tests become diluted or supplanted over time. The seal can become a mere habit, meaning nothing, and people gradually adopt other norms of bargaining, from shaking hands to writing letters. Fixating on such formalities could enable legitimate claims to be defeated.

BU stressed two more useful tests to determine the enforceability of a promise. The first is based on an intuitive sense of a bargain: whether parties agreed to an exchange that one side disappointed. Called "consideration," this has been our law's most important test to determine the enforceability of a contract since the eighteenth century.⁷ Unlike a seal or notary, consideration offers both a formal and a substantive test. The presence of an exchange – a *quid pro quo* – establishes an intention and cautions against impulsively made promises.

The second ground BU urged was reliance, an alternative reason to enforce a promise, which gained increasing recognition throughout the twentieth century. Reliance refers to a change of position based

on a promise someone else made. This doctrine, often called “promissory estoppel,” means that unsealed, unwritten, and unbargained-for promises can be enforced when the person making them should expect another to rely on them and did so. Today, this is an available alternative to consideration to justify enforcing a promise, so long as the reliance is reasonable.⁸

The fight in the King case, then, was whether BU gave consideration for Dr. King’s commitment of his papers to it or, alternatively, Dr. King made a promise on which BU foreseeably and reasonably relied. Mrs. King argued that Dr. King’s statement was not binding because it lacked consideration. In his letter, Dr. King indicated that, in the future, a portion of the deposited materials were “to become” BU’s property “as an outright gift” until all papers had been given. To Mrs. King, that language amounted to a mere gratuitous promise to make a gift – not a binding deal. Mrs. King emphasized the letter’s qualifying language, when Dr. King wrote that all papers BU takes into custody “remain my legal property” until further steps occurred.

In opposition, BU argued that Dr. King’s promise was supported by consideration and by the University’s reliance. The statement that deposited property would become BU’s by gift must be read alongside the statement that, upon Dr. King’s death, all the property would “become from that date the absolute property of” BU. Dr. King delivered property upon signing the letter and another installment the following year. BU took possession of the materials and cared for them. The delivery signaled BU’s reciprocal obligation and amounted to consideration, a trade: the papers in exchange for appropriate curating. Alternatively, that same language and context justified the interpretation that Dr. King made a promise that he should have foreseen BU would rely on. By archiving the material in its special collection for many years, the University did reasonably rely on that promise.

A Charitable Pledge

Although the King-BU dispute presented a close call, a well-known case decided by the same Massachusetts court the previous decade provided guidance.⁹ Like the King case, it involved a clash between

a charitable organization and one of its deceased donor's widows. The donor, Saul Schwam, suffered a long illness and was often visited by his rabbi, Abraham Halbfinger from Congregation Kadimah Toras-Moshe, in the Boston neighborhood of Brighton. On many of these visits, Schwam promised the rabbi, with witnesses present, to give the synagogue \$25,000. The synagogue planned to use the money to transform a storage room into a library in Schwam's name. Before the money was paid, however, Schwam died without a will providing for its payment. The synagogue claimed its \$25,000 against Schwam's estate. The court refused to allow it.

The promise was unenforceable because it failed to meet contract law's requirements: either consideration or reliance (nor was it signed, sealed, or notarized). Where the synagogue saw a bargain – cash for naming the library – the court saw only a gratuitous, unenforceable pledge. The synagogue never promised to name the library for Schwam – or even to build it. The rabbi merely said that was the plan. There was simply no indication that the library naming induced Schwam to make his pledge, nor was there any evidence that the synagogue relied on Schwam's promises. All it did was make an entry in its budget of \$25,000 for the storage room renovation. This action signaled a hope and a wish, but not reliance or consideration.

The King case differed in several ways. True, Dr. King's letter could be read merely as a promise to make a gift. Taken alone, that would only stimulate hope and wish. But Dr. King also delivered materials to BU, which BU then maintained. That delivery could suggest that Dr. King intended by his letter to seek BU's custodial care of the papers and to transfer them to BU. In contrast, Mr. Schwam never delivered anything. Even though he repeatedly promised Rabbi Halbfinger to make a gift to the synagogue, he never completed the gift.

BU hosted a commemorative convocation celebrating receipt of Dr. King's first installment of papers. There, Dr. King gave a speech that explained why he made the donation. His appearance and comments supported treating the promise as one that BU would be entitled to enforce based on its reliance. BU indexed the King papers, archived them for researchers, and made them available for study. The University also trained staff to care for the papers and to help researchers. These actions were undertaken reasonably in reliance on the letter

and were the letter's foreseeable result. In contrast, again, the Kadimah Toras-Moshe synagogue had not taken any similar actions in reliance. Given the absence of any return promise or firmer commitments, it would not have been foreseeable or reasonable to do so.

BU thus won its case against Mrs. King, in an opinion written by Judge Ruth Abrams, the first woman to serve on the 300-year-old Supreme Judicial Court of Massachusetts. Dr. King's promise was supported either by consideration BU supplied or by BU's reasonable reliance. BU still houses its collection of Dr. King's papers in its library – and the papers are extremely valuable, as Atlanta's \$32 million purchase of Dr. King's other papers attests. Even though some believe charitable pledges like these should always be enforced, whether or not supported by reliance or consideration, most courts apply these venerable tests, in all contract disputes, to sort out which promises merit enforcement.¹⁰

Estopping Aretha Franklin

Whereas BU won the case concerning Dr. Martin Luther King's papers under both theories urged – a bargained-for contract and promissory estoppel – it is more common for cases to accept one or the other. Typically, promissory estoppel is invoked when a bargained-for exchange cannot be shown. A simple example involved Aretha Franklin at the peak of her amazing singing career.¹¹ She negotiated for several months in 1984 with a Broadway musical producer, Ashton Springer, to perform the lead in a play about the renowned gospel singer, Mahalia Jackson. Franklin and Springer agreed on nearly every detail: a twelve-week performance run with compensation set at \$40,000 per week, expenses up to \$5,000 weekly, and a 20 percent stake in profits. This was all spelled out in a written document stating it would be binding once Franklin signed.

Franklin never signed, but Springer spent considerable time and at least \$200,000 planning the production based on Franklin's assurances that she was in. The court agreed with Franklin that the two had not formed a bargained-for contract. But the court also agreed with Springer that Franklin was liable under promissory estoppel. Franklin unequivocally promised Springer that she was doing this production

and that it was her highest professional priority. Franklin most certainly foresaw that Springer would act on those assurances, including juggling the production planning to coincide with Franklin's own schedule. This reliance was reasonable. The court therefore ordered Franklin to pay Springer \$200,000 in damages. "Sing Mahalia Sing" ran on Broadway during most of 1985, starring Jennifer Holliday.

C. ADS OR OFFERS: PEPSI AND HARRIER JETS

Twenty-one-year-old John Leonard thought he had a deal to buy a Harrier jet, an advanced military aircraft, for less than \$1 million.¹² The Harrier jet played a decisive role in Operation Desert Storm in 1991, helping the U.S. Marine Corps repel Iraqi dictator Saddam Hussein's invasion of Kuwait, and was also used extensively by the British Air Force. Visitors to London in 2010 could see a retired Harrier jet hanging in the Tate Britain Museum. This plane, known in aviation circles as a V/STOL for vertical/short take-off and landing, is designed to attack and destroy surface targets in broad daylight or pitch darkness. The jet carries tons of military ordnance, including ballistic missiles, yet floats like a butterfly in air.

One day while watching television, Leonard saw a Pepsi Cola ad about goods called Pepsi Stuff – shirts, jackets, sunglasses, and the like boasting Pepsi's logo. The idea was simple: Packages of Pepsi include tokens with point values consumers could redeem for goods. An additional cash payment could buy additional points to supplement the tokens. In the ad, not only did those kinds of goods appear with their price tags in "Pepsi Points," but also a military fighter plane, the Harrier jet. It flew in at the ad's end, with the screen flashing its price tag in Pepsi Points. The ad was evocative.

It is a sunny suburban morning, birds chirping, a paperboy on his route. A military drum beat introduces the title, *Monday 7:58 am*. A well-groomed teenager prepares for school, wearing a shirt with Pepsi's logo, as the words *T-Shirt 75 Pepsi Points* roll on screen. Another angle shows the teenager in a hi-leather jacket, while *Leather Jacket 1450 Pepsi Points* appears, and the military drums beat in the background. As the kid leaves his house, he dons a pair

of sunglasses, the words *Shades 175 Pepsi Points* scrolling across the screen. A voiceover says, “Introducing the new Pepsi Stuff Catalog,” and the camera zooms on a *Pepsi Stuff Catalog*.

The camera changes to three boys sitting in front of a high school building. One studies the Catalog; the others drink Pepsi. The three look skyward, as the background military boom amplifies, inducing a sense of pending drama. Winds of gale force scatter paper in a physics classroom.

The jet swoops into view, landing next to the school, near a bike rack. Students take cover, and the wind’s power strips an unlucky teacher of his clothing. The young pilot, looking cool without a helmet, opens the jet’s door, holding a Pepsi. As the pilot disembarks, he quips, “Sure beats the bus.” The military drumroll pounds again, as this tag line appears: *Harrier Fighter Jet 7,000,000 Pepsi Points*.

The promotion’s Pepsi Stuff Catalog displayed goods and points they cost, including T-shirts, jackets, and glasses – but not the Harrier jet. The Catalog’s directions, order form, and rules required at least fifteen original Pepsi Points to redeem any good, but permitted a consumer to buy additional points for \$.10 each. At first, John Leonard thought he would drink gallons of Pepsi to get the points needed for the Harrier jet. But he soon realized that was unreasonable. So he raised the required cash to meet the price, \$700,000.

Leonard sent Pepsi its order form, with fifteen original points and a check for the remaining amount. Pepsi responded that Leonard must be kidding. After all, the spot was merely a commercial advertisement, not an overture to form a sales contract. In addition, the jet in the ad was obviously a joke. Pepsi returned Leonard’s check, explaining: “The Harrier jet in the Pepsi commercial is fanciful and is simply included to create a humorous and entertaining ad. We apologize for any misunderstanding or confusion that you may have experienced and are enclosing some free product coupons for your use.”

Leonard’s lawyers replied that they were not kidding. To them, the ad offered the Harrier jet for 7 million Pepsi Points or its equivalent in points plus dollars. Leonard, they argued, accepted that offer, forming a contract. Again, Pepsi demurred, only this time an executive at its ad agency, Raymond E. McGovern, Jr. of BBDO New York, wrote: “I find it hard to believe that you are of the opinion that the Pepsi

Stuff commercial really offers a new Harrier jet. The use of the Jet was clearly a joke that was meant to make the commercial more humorous and entertaining. In my opinion, no reasonable person would agree with your analysis of the commercial.”

Despite Pepsi’s response, the company later changed the spot to make clear it was merely presenting commercial advertising and just joking. Meanwhile, Leonard and Pepsi litigated. Pepsi observed that a common way people form contracts, and what law looks for, is a combination of an offer to make a bargain and an acceptance of it, complete with consideration. It stressed that ads are not usually treated as offers because reasonable people usually interpret them as announcements, not proposed deals. Typically, ads are broadcast to a large number of people and amount to notices of products on sale or requests to consider something and perhaps to negotiate.

“First Come, First Served”

An ad can become an offer by making that intention clear, targeting it to a particular individual or group of people, using plain language of commitment, or an invitation to act without further communication. A classic example is a department store ad telling potential customers that “three brand new fur coats are on sale for \$1 this Saturday at 9 A.M. sharp, first come, first served.”¹³

When such an ad prompted Morris Lefkowitz to go to the store, tendering his dollar for a coat, the store refused, saying the ad was only open to women. Yet that is not what the ad said and its delineation of the terms signaled not merely a broadcast to the public at large, but a specific deal on the table. The ad amounted to an offer because its language limited the quantity offered (to three coats) and limited the number of people who could act on it (“first come, first served”). The store thus made an offer that Morris accepted, forming a binding contract.

The Pepsi ad was not within this exception, the company convincingly argued. It communicated to the world at large, without any limitation about who or how many in the world could accept. It was indefinite about the plane, and other goods for that matter, instead referring to the Catalog. The ad said nothing about steps people must

take to accept any offer. These features are characteristic of marketing advertisements, not offers to form binding contracts. Any concern that merchandisers might advertise deceptively is addressed by federal and state consumer protection laws.

Orders at the U.S. Mint

An ad is even less likely to be construed as an offer when an order form is part of it, as in the Pepsi case. For example, the U.S. Mint circulates brochures and order forms advertising Statue of Liberty commemorative coins. Collectors who submit orders do not form a binding contract by doing so. When the Mint, faced with unexpected high demand, could not fulfill its orders, it did not breach any contract.¹⁴ A contract would be formed only once the Mint accepted an order and processed payment. A customer's order form is an offer that the advertiser can accept – or not. In the Pepsi context, Leonard's letter and form were an offer, not an acceptance, and Pepsi rejected it.

Jesting

Even communications in the form of an offer or an acceptance may not be treated that way when circumstances indicate that they are made insincerely, as in jest. Television actors solemnly uttering scripted words of promise and commitment obviously are not bound to resulting bargains.¹⁵ Act out a ruse in private with a colleague who is in on the joke; no contract results.¹⁶ Of course, fail to let your colleague know it is a joke, and you may be bound.¹⁷ But in the Pepsi case, no reasonable person could avoid apprehending a joke, even if the ad could somehow be seen to assume the form of an offer.

Making Leonard's case somewhat plausible was how Pepsi targeted its Pepsi Points campaign to a lowbrow demographic that would actually desire the products. So it should have expected to encounter the likes of Leonard, perceiving an offer. Pepsi's about-face – changing the ad – could thus be portrayed as an admission of that perception's validity. But the particular views of Leonard and his cohort are idiosyncratic compared to what ordinary common sense suggests. The argument may make his case plausible but not necessarily persuasive.

Further, Leonard could not pinpoint his claim as prompting Pepsi's ad change. Companies regularly change marketing materials for many purposes.

For all these reasons, no contract was made, held distinguished Judge Kimba Wood of the federal trial court in New York. The ad is merely a commercial and nothing in it warrants special treatment. Exaggeration is the ad's artistic move, just as ads promoting the transformative properties of ordinary things like cars, beer, and pizza are commonly known to be puffery.¹⁸

Pepsi called its commercial "zany humor," which Judge Wood thought apt. The ad suggests that Pepsi can transform routine experiences like going to school into a thrill, evoking military drama. The jet's helmetless pilot is hardly the Marine Corps type. His comment about how flying the plane beats the bus, the judge wrote, tongue in cheek, "evinces an improbably insouciant attitude toward the relative difficulty and danger of piloting a fighter plane in a residential area."¹⁹

D. FROLIC OR ACCEPTANCE: BOASTS ON "DATELINE NBC"

J. Cheney Mason is a high-profile criminal defense lawyer.²⁰ In 2006, Mason represented Nelson Serrano, a wealthy businessman who, prosecutors said, orchestrated a plot to kill his former business partner and three others. During the widely publicized capital murder trial, Mason gave a challenge in an interview aired on "Dateline NBC."

State prosecutors said Serrano, traveling under several aliases, flew from Atlanta to Orlando, rented a car, then drove 66 miles and killed the four people, execution style. Then, the state said, he drove 50 miles to the Tampa airport, flew back to Atlanta and, in 28 minutes, drove from the Atlanta airport five miles to La Quinta Inn on Old National Highway. A surveillance tape showed him in La Quinta, both at midday and in late evening. Serrano used that tape as an alibi. Mason argued there was no way anyone could get off a plane at Atlanta's crowded Hartsfield-Jackson airport and be at La Quinta hotel 28 minutes later.

On "Dateline NBC," the host, Ann Curry, posed the vital question – whether there was enough time for Serrano to make that trip in 28 minutes – and gave an answer: "[T]he defense says no." On air, an

excited Mason declared: “And from there to be on the videotape in 28 minutes? Not possible. Not possible. I challenge anybody to show me, and guess what? Did they bring in any evidence to say that somebody made that route, did so? State’s burden of proof. If they can do it, I’ll challenge ’em. I’ll pay them a million dollars if they can do it.”

Dustin Kolodziej, a law student in Houston, had been following the Serrano trial on television between classes. He saw the Dateline show featuring Mason. Two phrases caught his attention: “I challenge anybody to show me” and “I’ll pay them a million dollars if they can do it.” On December 10, 2007, Kolodziej made the full trip in the required time, videotaping his steps, from Atlanta to Orlando to Tampa and back to Atlanta and, within 28 minutes, getting off the plane, walking through the terminal, getting into a car, and arriving at La Quinta on Old National Highway. When Kolodziej demanded payment, however, Mason refused.

Kolodziej claimed this breached a unilateral contract, a bargain occurring when the offer proposes to pay or do something in exchange for the performance of a designated act (as distinguished from merely promising to perform it). Mason called Kolodziej’s claim ridiculous. He contended that he made his statement in jest, to prove a point, as any reasonable person would know. He also said he directed the statement to the prosecutors, daring them, not the general public. Mason was wrong that Kolodziej’s claim was “ridiculous,” but neither was it an obvious winner.

Companies or people may offer payments in exchange for someone doing something, like disproving a trade claim or finding a lost pet. Sometimes called “prove me wrong” cases, the commercial illustration appears in an immortal 1892 English case, amid an influenza epidemic.²¹

The Curious Carboloc Smoke Ball

Inventive geniuses concocted cures, hawking them under product labels like Clarke’s World Famous Blood Mixture, Sequah’s Prairie Flower, Epp’s Glycerine Jube-Jubes, the Carboloc Smoke Ball, among many others. The Smoke Ball was especially curious.²² It was an apple-sized ball containing powdered carboloc acid, with an opening covered by

gauze. When squeezed, the powder puffed out a smoke cloud that the user then inhaled.

Probably seen today as an obvious screwball gimmick, the product's promoters were serious about the ball's properties. In their ad campaign, they showed endorsements from the rarified likes of British royalty – well-known earls, duchesses, countesses, and physicians to a prince, a knight, and the queen. One full-page ad in the *Pall Mall Gazette* for the Smoke Ball said:

£100 reward will be paid by the Carbolinc Smoke Ball Co. to any person who contracts the increasing epidemic influenza ... after having used the ball three times daily for two weeks according to the printed directions supplied with each ball. £1,000 is deposited with the Alliance Bank, Regent Street, shewing our sincerity in the matter.

Louisa Carlill read the ad, bought the ball, and used it. She then, of course, got the flu. She claimed that a contract existed and the company had to perform by paying the reward. True, ads are usually not offers, but this was no ordinary ad. It promised payment if a user got the flu. The ad was an offer of a reward for an action – using the ball – not merely inviting a consumer into a store for discussion. Unlike ordinary advertisements, those offering rewards invite anyone who does the act to form a contract. Mrs. Carlill therefore earned the £100, the court said.

There is a practical justification for this result. Consider when people advertise rewards for the return of lost pets. It is unnecessary, and undesirable, for anyone who sees such an ad and is willing to search first to sit down with the owner and hammer out an agreement. And there is a difference between cases such as pet rewards and smoke balls compared to cases like Pepsi Points. Like reward ads for lost pets, the smoke ball ad was not jocular. It manifested the company's interest in a bargain – depositing reward money in the bank as “shewing its sincerity.” Consideration exists: The bargain is an exchange of that money for the action the company induced the woman to take, using the product.

The Dateline example is a variation on the smoke ball theme. Mason, the lawyer, made a statement, akin to the ad, seeking an action

and promising payment based on it; Kolodziej, the student, did the act and demanded payment. Yet the case differs from the smoke ball case in an important way: Mason did not deposit any payment with a bank to show his sincerity. But that does not automatically negate his sincerity. Many similar on-air dares have been found to be valid offers:

- A tax protestor appearing on television declared: “If anybody calls this show and cites any section of the code that says an individual is required to file a tax return, I’ll pay them \$100,000.”²³
- A gambling company executive testifying at a public hearing about the integrity of his product, a punchboard, said: “I’ll put \$100,000 to anyone to find a crooked board. If they find it, I’ll pay it.”²⁴
- The head of the Jesse James museum asserted that the outlaw did not die in 1882 as legend has it but lived under an alias many years afterward, at the site of the museum; he offered \$10,000 “to anyone who could prove me wrong.”²⁵

The Hole in One

Analogous cases are common in charity events, especially golf tournaments. Local businesses contribute prizes to players achieving feats, such as a hole-in-one. In this context, signs promising cash or a new car for making a hole-in-one are offers that players accept by aching. Signs manifest an offer to bargain; aching is accepting. The result is a binding contract. That is so even if the sponsor mistakenly left signs up after tournament day. In bargain terms, the sponsor gets the benefit from promotion, like brand awareness, and the golfer does something not required – even if the stroke benefits him by a lower score.²⁶

So attorney Mason was wrong that it is ridiculous to see his statement as an offer. After all, he was on “Dateline NBC” while defending a capital murder defendant. That was no laughing matter. And there is good precedent for characterizing his rewards statement as an offer, a “prove me wrong” challenge.

Many observers thought the case an easy one on the facts. They saw it as a simple deal: The lawyer made a bet, lost, and should pay. But it is a much closer call, of course, even if Kokodziej’s claim was not “ridiculous.” Weaker was Mason’s other claim, that any offer he made was limited to the prosecution. It would be odd to make such an

offer to an adversary in a legal dispute. Mason's defense also failed in the courtroom: Jurors found Serrano guilty, and a death sentence was handed down in 2007.

As for Dustin Kolodziej, the law student, he is like many first-year students: He learned some relevant law and acted on it. The facts made for a close case. Kolodziej's lawyer, David George, put it well: "This is the kind of thing only a law student would do. It reads like a question on a law school test. This case will likely be studied in law school."²⁷

The court, however, made the case seem easy in taking the opposite position, finding no offer, without need for a trial. The court said the words on their face were "colloquial."²⁸ They were "hyperbole," the "exaggerated amount" of \$1 million being "the common choice of movie villains and schoolyard wagerers alike." The context reinforced this lack of linguistic earnestness, the court said. Mason made the comments as a criminal defense attorney, so they "were far more likely to be a descriptive illustration of what that attorney saw as serious holes in the prosecution's theory instead of a serious offer to enter into a contract."

The court found a way to distinguish each of the opposing precedents noted above. *Carlill* differed because the offeror had put the payment aside in escrow; the tax protestor made a living out of such stunts; the gaming company offeree first followed up to ask if the offeror was serious and he affirmed that; and the Jesse James museum case was inapplicable because the offeror said he had drawn a certified check in the offered amount.

In short, the court concluded that "Mason's conduct lacks any indicia of assent to contract." The purported offer was merely a "figure of speech," akin to "comparable idioms" such as "I'll eat my hat" and "I'll be a monkey's uncle." The court analogized to Pepsi's advertisement of a Harrier jet, which could not be considered an offer because "no reasonable, objective person would have understood the commercial to make a serious offer."

The court was also influenced by the insufficiently definite terms, especially the required degree of replication of the trip. For example, in the original airplane leg of his trip, the criminal defendant flew coach with a hundred other passengers onboard, whereas Kolodziej took an aisle seat in the front row of first class. The court also found

it “troublesome” that, despite the elaborate reenactment Kolodziej engineered, he never contacted Mason to verify the offer’s validity or terms. Why didn’t he just call, the court wondered.

A YouTube Reward

While touring Germany in 2010, the musician Ryan Leslie’s laptop was stolen, along with its external hard drive.²⁹ They contained significant intellectual property, including recordings for a new album and concert videos. On October 24, 2010, Leslie posted a YouTube video announcing a \$20,000 reward for the return of his property, implying it was worth well more than that.

Not having recovered the property, on November 6, 2010, Leslie posted a new video, upping the reward to \$1 million. Leslie publicized the increased reward on his Facebook and Twitter accounts. Numerous media picked up the story and echoed the reward, including an MTV interview of Leslie on November 11, 2010, during which he repeated: “I got a million dollar reward for anybody that can return all my intellectual property to me.”

Armin Augstein found the laptop and drive and returned them to Leslie through the German police. But Leslie refused to pay, and he could not access the intellectual property on the devices, all of which was soon inadvertently destroyed after Leslie delivered them to the manufacturer for service. In court, Augstein analogized the case to *Carlill v. Carbolic Smoke*. He argued that Leslie made an offer of a reward for the return of his property and that Augstein accepted and fully performed when he presented the property to the police in Germany. Augstein stressed the increase of the reward from \$20,000 to \$1,000,000, the value of the property lost (including an unreleased album), and the news reports regarding the reward offer.

Leslie portrayed the case as more like that of *Leonard v. Pepsi*. He said that a reasonable person would not have understood the mention of the reward to be an offer of a unilateral contract – one that could be accepted by performing the act – but an advertisement or invitation to negotiate. Further, Leslie said, even if it was an offer, Augstein did not perform because he did not return the intellectual property, only the physical property.

The court agreed with Augstein. It distinguished the television commercial in *Pepsi* by observing that Leslie's conduct was meant to induce performance. Unlike typical offers for bilateral contracts – involving an exchange of promises of future action – Leslie was not seeking a promise to find his laptop or hard drive, but their delivery. His videos could not reasonably be understood as invitations to negotiate, the court reasoned, because Leslie was not soliciting help in a hunt, but getting the goods.

Leslie's alternative argument stressed that he had not recovered his intellectual property, so Augstein had not accepted the offer. Augstein seemed to concede that acceptance of the offer entailed delivering the intellectual property on the machines, not just the machines. That is a version of the so-called "mirror image rule:" acceptance must conform to the terms of the offer or else constitute a counteroffer, here a counteroffer of the "IP-less machines" for, presumably, a lower negotiated price.

But this did not matter in the end, because the manufacturer's destruction of the devices precluded using them as evidence to evaluate whether they were returned with or without the IP. As between Augstein and Leslie, since Leslie was the one that shipped the machines out knowing they were relevant to a pending dispute, he was not allowed to take advantage of the disappearance. In the end, Leslie had to pay Augstein the \$1 million reward – along with more than \$180,000 in interest added by the court!

E. OFFERS: COMEDIANS AND DRUNKS

In 2012, Donald Trump, flirting with a run for the presidency of the United States and criticizing its incumbent, Barack Obama, pressured the President to confirm his U.S. citizenship by publicly disclosing his birth certificate. Despite Obama having done so, Trump sustained the pressure, posting a video on the internet on October 24, 2012 – the last week of the election campaign – in which he offered to pay \$5 million to Obama as consideration for the President publishing his college and passport applications and records. Trump was serious, even suggesting charities, clarifying his goal of producing the information,

and committing to pay within one hour. The offer also had a deadline: October 31, 2012 at 5:00 p.m. That hour having come and gone without Obama accepting, the offer terminated Obama's power of acceptance.

On January 7, 2013, the comedian and political talk show host, Bill Maher, appeared on the Tonight Show with Jay Leno. After calling Trump a liar and racist, he characterized some of Trump's public ramblings as "syphilitic monkey." Then came what Trump portrayed as an offer: "suppose that perhaps Donald Trump had been the spawn of his mother having sex with an orangutan... I hope it's not true ..., but, unless, he comes up with proof, I'm willing to offer \$5 million to Donald Trump ... that he can donate to a charity of his choice...."

Trump formally submitted his "acceptance" of this "offer" the next day, sending a copy of Trump's birth certificate attesting that he is "the son of Fred Trump," and naming the charities designated as beneficiaries of the \$5 million. In Trump's view, a contract was formed "the moment the Acceptance Letter was sent," a reference to the usual rule of acceptances, which makes them effective on dispatch (affectionately referred to as the "mailbox rule").

On February 4, 2013, Trump sued Maher. The lawsuit, of course, was an inherent loser, as Maher was clearly joking, and Trump soon withdrew it. But in their filings, Trump's lawyers got much of contract doctrine right, in both the Obama background and Maher interactions. In relation to Obama, the lawyers correctly noted that (1) an offer creates the power of acceptance, (2) an unrevoked offer may be accepted by following the route to acceptance stated in the offer and a binding contract results, and (3) the power of acceptance terminates upon any expiration stated (or upon the offeror's revocation of it, the offeree's rejection of it, or the offeror's death). (For a thumbnail sketch on the fundamentals of contract formation, consult Appendix A.)

Big Deal on a Diner Check

Some of these fundamentals appear in the classic 1950s case of *Lucy v. Zehmer*.³⁰ At issue was whether a twelve-word contract to transfer a

farm for \$50,000, written and mutually signed on a restaurant check, manifested mutual assent to the deal. The seller denied it, saying he was both drunk and joking and that the buyer knew all of that when they met up in a local diner one evening. The buyer declared his seriousness and earnest belief in the seller's seriousness and insisted that the seller go through with the deal.

The trial court believed the seller, that the buyer knew or had reason to know the seller was crooked or kidding or both. While contract law tends to take people's words and actions literally, it would be bizarre to hold people to a deal that both sides knew was a charade. The point of contract law is to identify and enforce intended bargains, not to inflict deals on people that neither party intended.

But the Supreme Court of Virginia took a different view of the facts and reversed. It suggested that that seller was not so inebriated as to lack capacity to form a contract, and that his behavior in context suggested he was daring the buyer, not jesting. The buyer may have missed both any sense of humor and the dare, and the proposal looked serious enough as an offer that his acceptance formed a binding contract.

Along with the clear terms of the writing, the combination of the seller's outward manifestations of intention to be bound and the buyer's reasonable apprehension of their legal significance meant that an offer and acceptance manifesting assent occurred. That was true even though the parties never haggled over price: \$50,000 was the only figure ever mentioned. That is unusual in commercial transactions, where a seller usually *asks* a relatively high price and a buyer usually *bids* a relatively low price with the final price somewhere in between. Dickering over price manifests intention to be bound, but absence of haggling does not foreclose the existence of assent.

F. MUTUAL ASSENT: SPYWARE AND SECRET CLAUSES

Spyware is computer code that enables electronic surveillance. When installed on a computer, it can allow third parties surreptitiously to track all of the user's Internet activity. Some unscrupulous companies disseminate it by bundling it with other products. Sometimes those

products are accompanied by contracts limiting user rights to sue the purveyor. Fights erupt about whether those are binding.

In a famous case at the dawn of the Internet era, Netscape offered to let users download free software from Web pages, conventionally subject to a license restricting use. Most users are unable to download without seeing the license. When installation begins, an icon opens in a window showing the user the agreement's text, along with instructions: "Do you accept all terms of the license agreement? If so, click the *Yes* button. If you select *No*, setup will close." People most often click *Yes* and are bound by its terms.

Netscape's program was software that enabled Internet browsing and was distributed using that click protocol to assure user awareness of its licensing terms. Netscape offered a companion product, called SmartDownload, that plugged into its browser feature to enhance it. Yet Netscape offered this product in an unconventional way. Users could download the software without seeing a license or any mention of one. Instead, the license appeared in a low part of Netscape's Web page, hidden beneath the download button.

After thousands of users downloaded the product, some discovered it contained spyware. Many found this objectionable and in violation of federal privacy laws.³¹ When they sued Netscape to challenge this practice, Netscape said users were bound by a licensing contract directing them to private arbitration and forbidding filing the lawsuit. The users denied that the purported contract was binding.³² The users emphasized a subjective test, which explored whether they had actual knowledge of an offer and its terms and whether they actually intended to accept those terms. They said Netscape made no offer of terms that any user accepted. What Netscape claimed was an offer was located in the Internet, hidden from view, and not attached to the product. It was impossible for users, unaware of the linked license, to accept any such offer. When users clicked the download button, they did not intend to agree to anything – indeed, they did not even *know* about anything they could possibly agree to.

Netscape countered with an objective test, asking whether reasonable people would know of an offer and its terms and whether a party's actions manifested an intention to accept those terms. Netscape emphasized it is unnecessary for people accepting offers to have actual

knowledge of the offer or subjectively intend to accept it. For centuries, Netscape asserted, people have been held to contract terms, regardless of whether they read and understood them.

Two Ships *Peerless*

The users' argument would have been welcomed throughout the nineteenth century, when there was much talk that an agreement required two subjective intentions, called the "meeting of the minds." The subjective test is illustrated by a famous case of the period.³³ The case concerned a deal to exchange cotton at a stated price for investment. The parties agreed that the cotton would be delivered to Liverpool from Bombay on a ship named *Peerless*. Alas, neither party knew there was more than one ship named *Peerless* plying that route, which sailed at different times.

As a result, each thought the deal was based on a different *Peerless*. The error was pivotal. In that era, the identity of a ship determined its arrival time, which in turn determined the value of goods on board (today the problem of similarly named vessels is resolved by assigning unique radio call letters).³⁴ Although outward manifestations suggested mutual assent, subjective knowledge and intent differed. For that reason, the parties had formed no contract, held the court.

Returning to the late twentieth century, Netscape argued that an exclusive focus on subjective intent could be perilous. People could sign contracts, exhibiting outward manifestation of intent, yet maintain a hidden intent to be unbound. If the deal turned out well, they could insist they outwardly and inwardly intended a deal and uphold it; if it turned out poorly, they could cite the inward intent and escape.

Netscape rightly observed how early-twentieth-century observers doubted our ability to discern such subjective intentions, and emphasis gradually shifted to outward manifestations. Under its proffered objective standard, Netscape argued that Internet users downloading software have some knowledge that licenses may restrict use. They knew that the appearance of the scroll bar on Netscape's Web page indicated further material on that page; knew how to operate the scroll bar; and knew that most software is governed by license agreements. Objectively speaking, Netscape argued, reasonable people had enough

knowledge to alert them to the existence of the license agreement, or at least some agreement, governing use.

Yet exclusive emphasis on outward manifestations can be perilous too, holding people to bargains they did not intend, as the *Peerless* case suggested. As a result, contemporary judges use a synthesis, with outward manifestations the primary determinant, while allowing people's testimony about subjective views to be heard.³⁵ In the Netscape dispute, it thus mattered what users subjectively intended when clicking on SmartDownload, not solely that they downloaded, installed, and used it.

Contract law has always recognized an escape hatch from apparent manifestation of assent, by not binding people to inconspicuous terms of which they are unaware, in a document whose contractual nature is not obvious. True, people are bound to writings they sign, whether they read them or not. But people are not bound when terms are not presented to them or do not appear to propose a binding contract. Receipt of a physical document containing terms may be enough to give people notice of terms, but they must receive the document.

The action of clicking, downloading, installing, and using software does not manifest assent unless the terms are clearly accessible. It is insufficient that the license appeared on the next scrollable user screen. That is not the same as saying people are held to the terms of documents they sign, whether they read them or not. This "writing" was not presented to users or signed by them. The apparent agreement was to terms whose contractual nature was inconspicuous.

Accordingly, the users did not assent, held Judge Sonia Sotomayor for a federal appellate court in New York, several years before her promotion by President Barack Obama to the U.S. Supreme Court. The users were free to maintain their lawsuit asserting that Netscape violated federal privacy law – which the parties eventually settled on undisclosed terms.

Terms in a Box: "Rolling Contracts"

Compare the olden *Peerless* case with the modern Netscape case – and they show how archaic problems reappear in new forms. Yet no two

cases are identical, and the most recent precedent for the Netscape case pointed in conflicting directions. The precedent involved a company, ProCD, which compiled information from telephone directories onto computer discs sold under the brand name SelectPhone. The company knew different buyer groups use the information differently: business buyers to expand customer pools; social buyers to connect with old friends. So it priced the product higher for businesses than for individuals. The versions offered to consumers included contract terms, inside the box and on the disc, limiting use to noncommercial purposes.

Matthew Zeidenberg, a computer science graduate student in Madison, Wisconsin, bought a consumer-use version of SelectPhone at a store, paying cash and walking home with the box. The box adverted to a set of terms inside but did not articulate the exact restrictions. The terms were inside the box, however, and inserting the enclosed disc in a computer, the software displayed the term prohibiting commercial use upon every start of the program. Despite the restrictions, Zeidenberg posted the information on his Web site and sought advertisers there to generate revenue.

ProCD sued for breach of contract, citing the clause in the box and on the disc restricting commercial use of the product. Zeidenberg contended the restriction was not part of their contract, which he said was formed when he paid for the product and the store handed it to him. At the time of purchase, he stressed, he did not know of the terms, so they could not be part of any contract. There would be no mutual assent, as contract law has long required.

Frank Easterbrook, the federal judge in Chicago appointed by President Ronald Reagan, thought otherwise. He accepted ProCD's argument that the contract was formed later, once Zeidenberg used the product after taking it home and having a chance to examine its terms.³⁶ True, contracts are usually formed by haggling over terms before cash changes hands. But many are formed by exchanging money before communicating detailed terms, including those for insurance, airline tickets, and prescription medicine.

Contract law recognizes that agreements can be made in many ways, so long as they sufficiently show a deal. Those making offers can set the terms however they like. That power is reflected in an august

slogan calling that person “master of the offer.” That person sets the ground rules, including specifying how an offer can be accepted. A software seller thus sets the terms and buyers accept or reject.

When ProCD proposed a deal priced with related restrictions, it made an offer. That offer was not simply to buy goods at the outset. Rather, the offer was to use the goods and, by use, assent to the terms. A contract can thus be formed at the store upon sale or at home after using. It was up to ProCD, as master of the offer, to dictate which it would be. The transaction at the register was not a contract, because Zeidenberg was not merely accepting an offer of the product for cash, but an offer of the product, along with the terms inside, for cash. Zeidenberg, by using the product without objecting, accepted.

Zeidenberg’s acceptance is analogous to download offers on the Internet, where users are invited to click *Yés* to signal they accept the terms. Cases like ProCD seemed to favor Netscape’s stance, but they actually support Netscape users’ case. After all, in ProCD’s case, the box of software noted it was subject to the terms listed inside. The license appeared on the screen and required assent before each use. The license was in the software manual and on the CD-ROM. These details made ProCD an easy case on which to conclude that a contract was formed. In contrast, the Netscape users never saw – and they could not reasonably have seen – the clause at all. There was no chance to click *No*.³⁷

G. ASSENT, ACCEPTANCE, AND DIGITAL TERMS OF USE

On September 25, 2012, Adam Berkson flew on Delta Airlines from New York City to Indianapolis. Needing the Internet to conduct business, he opened his laptop and followed the log-on instructions for Gogo’s in-flight Wi-Fi service. Between options of \$10 for the day or \$35 for the month, he clicked the sign-up button for the month, entered his American Express payment information, and was surfing the Web within one minute.

A few months later, however, Berkson discovered that Gogo was billing his AmEx card every month – as if he had subscribed. When he requested a refund, Gogo refused. While AmEx reversed the charges

as a customer courtesy, in 2014 Berkson joined other aggrieved Gogo customers to file a federal class action lawsuit. Gogo moved to dismiss the case by citing yet another surprising term on its Web site, one providing that all disputes go to arbitration, not litigation.³⁸

Continuing in a line of cases headed by the Netscape case discussed in the previous section, this is among scores of disputes arising from electronic contracts formed on the Internet, mostly between consumers and merchants. While billions of dollars change hands amid trillions of Internet transactions, most raising no issue, the novelty, dynamism, and ingenuity surrounding e-commerce and technology produce disagreements about how offers to contract are made, how they may be accepted, and what terms they contain.

Mutual manifestation of assent is the touchstone of contract formation. When there is clearly an offeror and clearly an offeree, the acceptance of the offer must be unequivocal – or as Williston put it, “positive and unambiguous.” True, the common law of contracts recognizes that assent may be manifested by inaction or silence, but it nevertheless insists that conduct is not seen to manifest assent or acceptance unless the offeree intends the conduct and has reason to know that the offeror may infer assent from it. Those common law principles mean that assent and acceptance on the Internet must manifest a degree of intentionality that many Web sites are unable to facilitate.

Next, it is common in contemporary commerce to offer and form contracts without negotiation – standard terms on a take-it-or-leave basis, generally referred to as “adhesion contracts.” While not intended pejoratively, the term is sometimes taken that way, probably because of acute relative bargaining power present when a party is able to dictate terms. The important connotation is the need, in order for traditional principles of assent and acceptance to work, to assure that offerees at least have an opportunity to review terms, if not negotiate them.

Finally, when assent is largely passive, as with electronic adhesion contracts, it is more important to probe whether the offeree had notice of the term at issue. Actual notice suffices, but inquiry notice can suffice too – meaning that the offeree need not know specifics of the term but be on notice to inquire about it. The *Specht* court spoke

to this issue, distinguishing a duty to read from the right of inquiry notice: “a party cannot avoid the terms of a contract on the ground that he or she failed to read it before signing, [but] an exception to this general rule exists when the writing does not appear to be a contract and the terms are not called to the attention of the recipient. In such a case no contract is formed with respect to the undisclosed terms.”

Carnival Cruise’s Bold Conditions

Another prominent illustration is an opinion of the U.S. Supreme Court, *Carnival Cruise Lines, Inc. v. Shute*,³⁹ holding that the terms of adhesion contracts must be reasonable – the Court said the terms are “subject to judicial scrutiny for fundamental fairness.” In *Carnival Cruise*, vacationers bought cruise tickets through a travel agent, which they later received by mail. A legend on the front read, in bold type and all capital letters: “**SUBJECT TO CONDITIONS OF CONTRACT ON LAST PAGES IMPORTANT! PLEASE READ CONTRACT ON LAST PAGES 1, 2, 3.**” The passenger was injured on the cruise due to alleged carrier negligence and sued in Washington state court. The cruise line, citing a clause in the contract selecting Florida courts for such suits, moved to transfer the case. The passenger said the clause was unenforceable because it was not freely bargained for.

The Supreme Court thought that the absence of bargaining was irrelevant to the clause’s validity. It is unreasonable to expect bargaining over such terms, either from the offeror’s or offeree’s perspective. The issue, rather, was whether the clause was reasonable and fair. Nothing about the cruise line’s choice of Florida suggested unfairness or absence of good reason; to the contrary, its headquarters and commonly used ports are in Florida. Nor did it appear that the line exacted the passenger’s assent by fraud or overreaching. Finally, the Court stressed that the passenger received notice of the clause and therefore could have rejected the offer.

These basic principles of general contract law apply whether one is addressing exchanges made in-person, by mail, or online using any of

the many devices different Web sites use. An informal typology illustrates differing Web site approaches and judicial treatment:⁴⁰

- *browse-wrap*: the Web site (offeror) says assent is given by using the site – a form of passive acceptance that provokes judicial scrutiny;
- *sign-in-wrap*: the offeror says assent is given by signing in for the site's services, also inviting judicial scrutiny;
- *click-wrap*: the offeror contemplates assent by the user clicking a designated button such as "I agree" (without necessarily seeing the contract or terms), an active acceptance in keeping with traditional contract law standards so that courts tend to find them enforceable; and
- *scroll-wrap*: the offeror contemplates assent by the user clicking a designated button such as "I agree" with a requirement of first scrolling through the contract terms – exceeding prevalent standards and therefore even more likely to be enforced.

This typology simplifies and illuminates but does not automatically resolve disputes, as many sites exhibit hybrids, variations, or other devices evading tidy classification. Consider a case that echoes *Carnival Cruise*, two decades later, concerning a forum selection clause contained in the terms of use on Facebook.

Facebook

In *Fteja v. Facebook, Inc.*,⁴¹ a user charged emotional distress and reputational damage after Facebook disabled his account, and sued in New York. Facebook, citing its terms of use that called for litigating in California, moved to transfer the case. The user countered that he had not accepted the terms. It was both similar to and different from *Carnival Cruise*.

When Fteja signed up on Facebook, the Web site asked for fields of information followed by clicking "sign up." Before the sign-up click button, the site announced that by clicking "you are indicating that you have read and agree to the Terms of Service" – with the latter phrase appearing as a hyperlink (underlined and italicized and leading to those terms). To have a Facebook account, a user must have so clicked; if the accompanying phrase is given effect, the user did indeed agree to the terms. Hence the hybrid quality: (1) like a browse-wrap

in that terms are visible only by hyperlink, yet (2) like a click-wrap in that users must do something else – click “sign up.” Recalling *Carnival Cruise*, the *Fteja* court wondered:

What is the difference between a hyperlink and ... a cruise ticket [with the legend “subject to conditions” appearing on it as in *Carnival Cruise*]? The mechanics of the internet surely remain unfamiliar, even obtuse to many people. But it is not too much to expect that an internet user whose social networking was so prolific that losing Facebook access allegedly caused him mental anguish would understand that the hyperlinked phrase “Terms of Use” is really a sign that says “Click Here for Terms of Use.” So understood, at least for those to whom the internet is an indispensable part of daily life, clicking the hyperlinked phrase is the twenty-first century equivalent of turning over the cruise ticket. In both cases, the consumer is prompted to examine terms of sale that are located somewhere else. Whether or not the consumer bothers to look is irrelevant.

Gogo

Gogo’s motion to dismiss Adam Berkson’s class action complaint was decided by Judge Jack Weinstein, a distinguished ninety-three-year-old appointed to the bench by President Lyndon Johnson. He wrote a law-review-length opinion denying the motion. After quoting the foregoing passage from the *Fteja* case, Weinstein quarreled with his colleague in that case, as follows:

The phrase “for those to whom the internet is an indispensable part of daily life” in *Fteja* is curious. It presupposes intensive and extensive use of the internet, an assumption not easily justifiable when the user is buying only one or a few items through this system. What of those less devoted to computers? Should a survey be taken on how they view some of these directions? Judges and law clerks tend to be sophisticated about navigating the internet ... Are they attributing their superior knowledge to [others who may be unsophisticated]? A “hyperlink,” which is activated by clicking on an underlined word or term, with its serious legal ramifications, may not be fully understood by many consumers.

Judge Weinstein read the law differently and, after discerning the principles from the cases, built an analytical framework to evaluate the

validity of electronic contracts of adhesion – and found Gogo failed because: (1) there was insufficient evidence that customers knew they were binding themselves to more than a one-time deal; (2) site design did not make the terms conspicuous (e.g., large font, all caps, bold, or in multiple locations) while sign-in was both conspicuous and user-friendly; (3) the importance of the terms was accordingly obscured; and (4) nothing was said about the relative merits of arbitration versus litigation. True, the *Gogo* device closely resembled that in *Fteja*. But Judge Weinstein explained:

But *Fteja*, and lower court cases that follow its lead, mischaracterize important Supreme Court and Court of Appeals precedent regarding contracts and the reasonable person standard that must be applied to inquiry notice of, and manifestation of assent to, the terms in a contract of adhesion. The offeror must show that a reasonable person in the position of the consumer would have known about what he was assenting to. There are significant differences between a hyperlink available near a sign-in button, which is never subsequently mailed in hardcopy or softcopy to a consumer, as is the case here, and a hardcopy cruise ticket saying in all caps [and bold that it is subject to conditions as in *Carnival Cruise*].

Judge Weinstein identified several differences between the ticket in *Carnival Cruise* and the link Gogo used: the hyperlink is unrelated to any in-person transaction; Gogo had no practice of emailing or mailing its terms of use to customers; Gogo made no effort to draw Berkson's attention to its terms of use; and the passenger in *Carnival Cruise* acknowledged receiving notice of the terms – not so in Gogo.

While many judges seem to assume the validity of terms of use in electronic contracts, Weinstein stressed the need for assent in contract formation that makes such an assumption irresponsible. On the other hand, experts urge Web site designs to promote efficacious manifestations of assent and access to terms, especially advocating the use of “scroll-wrap.” And many Web sites follow the advice, including prominent participants such as Google.

Despite the commercial strides that the Internet enables, it has not and is unlikely to fundamentally change contract law. The principles may adjust and stretch, but long-established doctrines both facilitate freedom of contract and constrain abuse. As attested by the work of

researchers, policy groups, and courts, anything wild in electronic commerce is soon tamed, whether hidden terms or other chicanery. Lawyers, judges, and other experts help forge not only the law of contracts but the practice of commerce, and sustain fundamental ideas like mutual assent.

H. POLICIES OR PACTS: THE CLEVELAND.COM BLOGGER

Like most traditional print newspapers, the *Cleveland Plain Dealer* migrated in the early 2000s to provide news online, at Cleveland.com. Following trends, the site let people post comments to its articles, signed or anonymous. The site posts governing company policies, including protecting personally identifiable information. Site users click a “terms-of-use” link to signal assent to the policies.

In early 2010, some eighty anonymous comments came from “lawmiss,” many discussing cases pending before a state court judge, Shirley Strickland Saffold.⁴² After determining that many comments were made using the judge’s state-issued computer, the newspaper disclosed the judge’s identity as the comments’ author, without her permission. Judge Saffold claimed the newspaper’s disclosure breached the company’s commitment to protect the identities of users on its site. Similar cases multiplied during this period, making this wave of litigation among the hottest contemporary contract law topics.

The Cleveland.com story echoes the hottest practical topic in contract law from the 1990s, namely whether corporate employment policies could be enforced as contracts. Saffold could point to how judges handled that flood of unprecedented cases to resolve her own battle with Cleveland.com about whether corporate privacy policies stated on the Internet are contracts. Before the 1980s, the common law of contracts was clear: Corporate policies stated in employee handbooks were not offers to form contracts and, regardless, would not be binding for lack of consideration. Employers were free to fire employees at will, following a centuries-old tradition with deep roots in Anglo-American culture and law.⁴³ Rulings like that are highly favorable to companies such as the *Cleveland Plain Dealer* wishing to resist having their online privacy policies seen as contracts.

During the late 1980s and early 1990s, however, human resources departments spruced up these handbooks to express warmer commitments to employees of job security in compelling language. Employees, seduced by the handbooks' promises, increasingly relied on these statements when choosing jobs, and many viewed them as binding contracts. As a result, contract law gradually shifted its stance. The handbooks could manifest employer intention to offer a binding contract. By reporting for work each day, employees accepted the offer and supplied the requisite consideration.

Mobil Coal's Employee Handbook

A 1991 case illustrates this shifting landscape in the workplace and how law adapted in ways relevant to today's online policy disputes.⁴⁴ Mobil Coal Company of Wyoming published an employee handbook one year before hiring Craig McDonald as a mine technician in August 1987. The handbook told employees to read its contents carefully, then declared that the handbook was not a contract and that the employment relationship was terminable by the company at will. But it also said the best way to promote healthy employee-company relations is through consultation, adding that during any job dispute, the company would always give employees a consultation and a five-step discipline schedule.

The company fired McDonald in June 1988, amid rumors that he had sexually harassed a colleague. Investigation into the allegations and the firing did not follow the handbook's procedures. McDonald sued for breach of contract, asserting either a binding bargain supported by consideration or, alternatively, an enforceable promise based on reliance. In a bewildering series of rulings, the judges on the Wyoming courts took various positions on whether McDonald had made out a traditional claim for breach of contract or a claim for the more modern promissory estoppel. In the end, a divided Wyoming Supreme Court said he had made a plausible claim for promissory estoppel but failed to make out a claim for old-fashioned breach of contract. Courts countrywide similarly struggled when deciding what, if any, claims an employee in cases similar to McDonald's might be able to win.⁴⁵

When judges like those in Craig McDonald's case became willing to treat employee claims as valid, employers got the message. The glossy brochures boasting of job security that proliferated in the 1980s and 1990s returned to the form of practical guides of earlier eras. Companies took greater care in handbooks to say what they meant and to mean what they said, clarifying that employment could still be terminated at will.

Courts struggled during this process of change with traditional doctrines to evaluate whether to enforce promises as contracts. That meant new encounters with old contract law tools such as offer, acceptance, and consideration, as well as mutual assent. Contract law tools worked because the employee manuals common before the 1980s did not warrant enforcement as contracts, but many that came afterward did.

The Cleveland.com case shows that a similar shift is afoot concerning corporate policies about the privacy interests of consumers, especially online.⁴⁶ Corporate policies do not readily meet the usual tests required to establish contracts, such as bargained-for consideration or reasonable reliance.⁴⁷ As courts struggle with this novelty, however, they forge pathways to recognize privacy policies as contracts. A harbinger appears in a 2007 case unwittingly linking the old employee handbook cases to today's privacy cases – of help to online users such as Judge Shirley Strickland Saffold, and a caution to online companies such as Cleveland.com.⁴⁸

Breaching Promises of Secrecy

Millions were to be made by Alan Meyer, a Kansas real estate developer with expertise in residential projects. In February 2005, his long-time business acquaintance and loan officer, James Duff, suggested that Meyer meet David Christie to discuss an opportunity to build a residential complex called The Bluffs. Thanks to that introduction, the two formed a joint venture in March 2005 to finance and build The Bluffs, expecting riches to follow.

That summer, however, Duff heard from the president of Security Savings that Meyer may have made fraudulent statements in his loan applications, lacked collateral for some loans, and faced financial difficulties. Duff relayed that to Meyer, who denied the claims, stressing that

he was prepared to meet any financial challenges coming his way. Duff also passed on such rumors to Christie. When Christie later applied for a loan at Security Bank, the bank declined, saying that Meyer was in default on his loans and the bank would not lend to anyone associated with him. Christie then severed the joint venture with Meyer and finished *The Bluffs* without him, earning the expected millions.

Meyer sued Security Savings for breach of contract. He pointed to the bank's express privacy policies, asserting an implied contractual duty to maintain confidentiality, which it breached by divulging information to Christie and Duff. Security Savings contended that no contract existed and that there was no consideration for any. The bank stressed that Meyer's claim was founded on its privacy policies and cited long-standing law that such policies are not binding contracts, invoking the famous line of employee handbook cases. They remained clear, even after cases like *MacDonald*: Contracts are not created by an employee handbook describing a supportive environment and boasts of a commitment to employee retention and fair pay, so long as they are accompanied by conspicuous disclaimers of such assurances.⁴⁹

The bank cited contemporary cases echoing the long-standing law that Web site policies also do not constitute binding contracts. For instance, after September 11, 2001, the National Aeronautical and Space Administration (NASA) asked Northwest Airlines for passenger data to research airline security, and Northwest turned it over – without asking passengers' permission.⁵⁰ Information included names, addresses, credit card numbers, and itineraries. Once they discovered what has transpired, the infuriated passengers sued. A principal claim was breach of contract, asserting that the disclosure violated Northwest's privacy policy stated on its Web site. But the courts were impatient with this argument, stressing that Web site policies are not contracts or offers to form contracts. They are mere corporate policies, not offers or promises.

But the court in Alan Meyer's case against Security Savings was not convinced by this reasoning. After all, it overlooked the important line of employee handbook cases epitomized by *Craig MacDonald's* case that qualified the traditional stance. The precedent also missed the mark because Meyer's case against Security Savings was far stronger

contractually than the airline passengers' case. Meyer had a long-term banking relationship with Security Savings; the bank requested confidential information and he provided it. In doing so, he relied on the bank to keep information confidential in accordance with its policies. The policy was part of the bank's offer to lend, which Meyer accepted by supplying the requested information. That meant the privacy policy formed part of the bargained-for exchange.

This analysis helps assess the claim that Judge Shirley Strickland Saffold made against the *Cleveland Plain Dealer*. The newspaper made its privacy policy clear on its Web site. Its purpose could not be other than to bid users to post comments on it. It presented terms of use, manifesting an intention to be bound by them. So stimulated, users contribute posts online – something they do not have to do – constituting acceptance and supplying consideration.

Sweeping assertions that Web site policies cannot be contracts are misleading. They can be enforceable contracts or promises when meeting traditional tests of manifested intention, assent, and either consideration or reliance. Aware of such precedents and arguments, and how they do not automatically resolve disputes over online privacy, Judge Saffold and Cleveland.com settled their dispute on undisclosed terms. The problem and related challenges thus remain alive and well.

Law continues its long-standing struggle to identify what promises should be enforced as contracts. Today's contract law takes a pragmatic approach. It makes bargains the primary signifier of an enforceable deal, with reliance a sturdy fallback. That stance contrasts with competing beliefs and prescriptions. At one extreme, many believe that having a document notarized is necessary and sufficient to make it legally binding. A pure formalism would endorse that approach. That would return contract law to the heyday of the seal, insisting on some formal ceremonies to form a contract. At the other end of the spectrum, some believe that a handshake, or sometimes even a nod of the head, is all that it takes to make a bargain binding, and that even promises to make gifts are binding. There are those who insist that searching in the context of every interaction is necessary before concluding that a valid contract is formed. People have differing opinions on whether advertisements are or should be seen as offers to contract.

Unlike what many people think, for years, contract law has concentrated on enforcing promises made in bargains or inducing reliance – but not promises to make gifts. Bargains are enforceable when manifesting an intention to be bound, according to how reasonable people would understand it. This rules out jokes and ordinary advertisements – yet includes boastful rewards reasonably seen as inducing action. Freedom of contract lets people form contracts on the terms they wish, and law holds people to those terms as long as they had a chance to learn them. Venerable contract law still offers rich and dynamic doctrine adaptable to novel problems, from proliferation of glossy employment handbooks to digital corporate policies. This freedom of contract is not absolute, however, and contract law polices objectionable terms, as the next chapter explores.